

PROPOSAL · CAPABILITY BRIEF

Texas Mechanic's Liens and Lien Enforcement

How SWRS identifies, preserves, and enforces lien rights on HVAC and plumbing receivables · Prepared for Silver Spur · September 30, 2026

HVAC and plumbing work is lienable in Texas. Repairing or installing an improvement to real property qualifies under Property Code § 53.021, whether the job is a service call or a full system replacement. The lien is a powerful lever — it primes a prior mortgage on the improvement, carries mandatory attorney's fees, and gives the claimant priority over the contractor's other creditors. It is also the most deadline-sensitive remedy in Texas collections. This brief explains what the lien can and cannot do on Silver Spur's book, and exactly how SWRS handles lien-eligible accounts.

1. What we do on every placement

- Screen each account at intake for lien eligibility: property type, who Silver Spur contracted with, work dates, and whether a written contract exists.
- Flag accounts where notice or affidavit deadlines are still open and tell you the exact date each one closes.
- Route open-deadline accounts, with your approval, to our Texas lien filing partner for notices and affidavits, or to counsel where enforcement is warranted.
- Work every other account through demand, Prompt Payment Act interest, credit bureau reporting, and payment plans — the levers that do not depend on lien timing.
- Quote legal and lien work per account. Nothing is filed or forwarded without Silver Spur's written approval, and all filing and court costs are paid in advance.

2. Eligibility and deadlines

Deadlines depend on who Silver Spur contracted with. On direct-to-owner jobs Silver Spur is the **original contractor** and no pre-lien notices are required. When Silver Spur Mechanical works under a general contractor, it is a **derivative claimant** and must send the statutory notice on the prescribed form or the lien is invalid.

STEP	COMMERCIAL PROJECT	RESIDENTIAL PROJECT	AUTHORITY
Derivative-claimant notice to owner and GC	15th day of the 3rd month after each month labor or materials were furnished	15th day of the 2nd month	§ 53.056
Retainage notice (subs only)	30 days after claimant's contract or the original contract is completed, terminated, or abandoned	Same	§ 53.057
Lien affidavit — original contractor	15th day of the 4th month after completion, termination, or abandonment	15th day of the 3rd month	§ 53.052(a)
Lien affidavit — sub or supplier	15th day of the 4th month after last labor/materials	15th day of the 3rd month	§ 53.052(b)–(c)
Copy of filed affidavit to owner (and GC)	Within 5 days of filing	Same	§ 53.055
Suit to foreclose	1 year from the last day the affidavit could have been filed; extendable to 2 years from filing by recorded agreement with the owner	Same	§ 53.158

Why timing drives everything

Most delinquent receivables reach a recovery partner after the affidavit window has closed. That is why SWRS asks for placement as early as possible on any job over a few thousand dollars, and why we screen for deadlines on day one rather than after demand fails.

3. The homestead limitation on residential accounts

Texas protects homesteads from most liens. A mechanic's lien on a homestead is valid only if a written contract was signed **before the work began**, signed by **both spouses** if the owner is married, and **recorded with the county clerk** (Tex. Prop. Code § 53.254; Tex. Const. art. XVI § 50(a)(5)). For repair and renovation work the Constitution adds a five-day waiting period after any credit application, a three-day rescission right, and execution at the office of a lender, attorney, or title company.

In practice this means a routine residential service invoice on an owner-occupied home will almost never support a lien, no matter how well the deadlines are managed. Lien rights on Silver Spur's residential book are realistic in three situations:

- Non-homestead residential property — rentals, investor-owned homes, second homes.
- Financed replacements papered with a compliant pre-work contract (SWRS can review your contract package to confirm).
- Commercial and multifamily jobs through Silver Spur Mechanical, where homestead protection does not apply.

What we do instead on homestead accounts

Prompt Payment Act interest at 1.5% per month on unpaid repair invoices (Tex. Prop. Code ch. 28), credit bureau reporting, structured payment plans, and — where the balance justifies it — attorney demand and suit on the contract with attorney's fees under CPRC § 38.001. These levers do not depend on lien timing or homestead status.

4. Enforcement routes once a lien is filed

Filing the affidavit is the beginning, not the end. Texas gives a perfected lien claimant several paths to money, and the right one depends on who has funds and whether the job was bonded.

ROUTE	WHAT IT DOES	KEY TERMS
Judicial foreclosure	Court judgment orders the property (or the improvement alone) sold to satisfy the lien. No non-judicial option exists.	Suit within 1 year (§ 53.158); sale by judgment only (§ 53.154); improvement may be sold separately from land (§ 53.155)
Fund trapping	Notice obligates the owner to withhold from the GC. If the owner keeps paying the GC after notice, the owner becomes personally liable once the lien is secured and reduced to judgment.	§§ 53.056, 53.081, 53.084(b)
Statutory reserved funds	Owner must hold 10% of the contract during work and 30 days after. Claimant gets a lien on that fund; if the owner failed to reserve, a lien on the property for the shortfall.	§§ 53.101, 53.103, 53.105
Payment-bond claim	If the GC bonded the job, the claimant sues the surety instead of the owner.	Notices to GC and surety (§ 53.206); suit after 60 days unpaid (§ 53.208); 1–2 year limit
Bond-around substitution	If the owner bonds around the lien to clear title, the claim shifts to a suit on that bond.	§§ 53.171–.175; 1 year from notice
Construction Trust Fund Act	Contract payments are trust funds for subs and suppliers. Officers who misapply them are personally liable — often the surviving remedy when lien deadlines are gone.	Tex. Prop. Code ch. 162
Attorney's fees and costs	Mandatory award in lien foreclosure and bond suits, as the court finds equitable and just.	§ 53.156
Priority	Lien on the improvement primes a prior mortgage on the land; lien claimants take preference over the GC's other creditors.	§§ 53.121, 53.123, 53.124

5. How a lien account moves through SWRS

STAGE	WHO ACTS	WHAT HAPPENS
1. Placement	Silver Spur	Account uploaded through the client portal with invoice, contract (if any), property address, and work dates.
2. Eligibility screen	SWRS	Property type, contract chain, and deadline status determined. Silver Spur told which accounts have live lien rights and which do not.
3. Notice and affidavit	Filing partner, on Silver Spur's approval	Statutory notices and the lien affidavit prepared, notarized, and recorded in the county where the property sits. Costs quoted in advance.
4. Post-filing collection	SWRS	Demand with the recorded lien attached; fund-trapping notice to owner where applicable; Prompt Payment Act interest applied; payment plan or settlement within your authority.
5. Enforcement decision	Silver Spur	For accounts that do not resolve, SWRS delivers a per-account quote: attorney contingency (typically around 25%) plus itemized court and filing costs paid in advance.
6. Foreclosure or bond suit	Counsel	Suit filed within the one-year window; attorney's fees sought under § 53.156; SWRS tracks status in the portal.

What SWRS does not do

SWRS is a licensed receivables recovery firm, not a law firm. We do not prepare lien affidavits in our own name, file suit, or give legal advice. Document preparation runs through an attorney-drafted filing service or counsel; litigation runs through counsel. This keeps every lien Silver Spur files enforceable and keeps SWRS clear of unauthorized-practice exposure.

6. Texas court precedent

The following decisions were located through the SWRS legal research gateway (CourtListener) and are grouped by the question each answers. Citations passed format verification but have not been run through Shepard's or KeyCite; counsel should confirm subsequent history before relying on any of them in a filing.

Once a lien is perfected, foreclosure is not discretionary

- **Crawford Services, Inc. v. Skillman International Firm, L.L.C.**, 444 S.W.3d 265 (Tex. App.—Dallas 2014). The court addressed whether a trial court may decline to order foreclosure after finding a perfected statutory lien and unpaid labor and materials, holding the lienholder is entitled to a judgment of foreclosure.
- **Hayek v. Western Steel Co.**, 478 S.W.2d 786 (Tex. 1972). Texas Supreme Court decision construing the Mechanics' and Materialmen's Lien Act in a suit by suppliers against property owners for an unpaid balance; the foundational authority that the lien statutes are to be liberally construed in favor of claimants who comply with them.

The constitutional lien and privity

- **Trinity Drywall Systems, LLC v. TOKA General Contractors, Ltd.**, 416 S.W.3d 201 (Tex. App.—El Paso 2013). Subcontractor lien dispute against a general contractor and owner; addresses the reach of the constitutional lien (art. XVI § 37) and its limitation to claimants in direct privity with the owner.

Homestead: the contract-and-spouse requirement is enforced strictly

- **Cadle Co. v. Ortiz**, 227 S.W.3d 831 (Tex. App.—Corpus Christi 2007). A mechanic's lien on a homestead signed by only one spouse was held invalid under the Texas Constitution, and the resulting foreclosure was wrongful.
- **Denmon v. Atlas Leasing, L.L.C.**, 285 S.W.3d 591 (Tex. App.—Dallas 2009). Wrongful-foreclosure suit turning on whether a lien against a residence was void for violating homestead protections.
- **Texas Wood Mill Cabinets, Inc. v. Butter**, 117 S.W.3d 98 (Tex. App.—Tyler 2003). Cabinet contractor's lien claim against homeowners; illustrates the residential-construction requirements a contractor must satisfy before a lien on a residence will hold.
- **Precision Roofing, Inc. v. Zavelson**, No. 03-17-00550-CV (Tex. App.—Austin Nov. 9, 2018) (mem. op.), and **Texas Rock Solid Building Services, LLC v. Pounds**, No. 03-22-00713-CV (Tex. App.—Austin July 25, 2024) (mem. op.). Recent residential contractor-versus-homeowner lien disputes from the Third Court of Appeals; unpublished, persuasive only.

Construction Trust Fund Act: personal liability of the people who control the money

- **Choy v. Graziano Roofing of Texas, Inc.**, 322 S.W.3d 276 (Tex. App.—Houston [1st Dist.] 2009). Individual officer held liable to an unpaid subcontractor under Chapter 162 for misapplied construction trust funds.
- **Scoggins Construction Co. v. Dealers Electrical Supply Co.**, 292 S.W.3d 685 (Tex. App.—Corpus Christi 2007). Supplier's Chapter 162 claim against a contractor and its principals for trust-fund misapplication.
- **Dudley Construction, Ltd. v. ACT Pipe & Supply, Inc.**, 531 S.W.3d 744 (Tex. App.—Texarkana 2016). Pipe supplier's recovery against the contractor, its individual owner, and the payment-bond surety on public water and sewer projects.
- **Exchanger Contractors Inc. v. Comerica Bank-Texas (In re Waterpoint International LLC)**, 330 F.3d 339 (5th Cir. 2003). Unpaid subcontractor asserted Trust Fund Act rights to the receivable owed by the owner ahead of the contractor's secured lender; Fifth Circuit treatment of how trust-fund rights interact with a lender's security interest in bankruptcy.

How SWRS uses these

Cadle and Denmon are the reason we screen every homeowner account for a compliant pre-work contract before recommending a lien. Crawford and Hayek are what counsel leans on once an affidavit is properly on file. The Chapter 162 line is the fallback for Silver Spur Mechanical's commercial work when a general contractor was paid and did not pay down.

7. Related Texas law that applies to every Silver Spur receivable

- **Prompt Payment Act, Prop. Code ch. 28:** owner must pay a proper invoice within 35 days; unpaid balances accrue 1.5% per month; attorney's fees available; cannot be waived. Applies to repair work and to single-family jobs.
- **Attorney's fees, CPRC § 38.001:** recoverable on contract, sworn account, and labor-and-materials claims, including against LLC and partnership debtors.
- **Limitations:** four years on contract claims (CPRC §§ 16.004, 16.051).
- **Interest when the contract is silent:** 6% from the 30th day after the invoice is due (Fin. Code § 302.002); contractual ceiling 18% (§ 303.009).
- **Residential Construction Liability Act, Prop. Code ch. 27:** the homeowner's defect counterclaim framework, with a 60-day notice-and-cure requirement. SWRS flags these disputes early.
- **Consumer protections:** homeowner accounts are worked under the FDCPA, Regulation F, and the Texas Debt Collection Act. Commercial accounts follow our B2B protocol.

Sources: Tex. Prop. Code ch. 53 (current through the 2025 legislative sessions, including the HB 2237 amendments effective January 1, 2022); Tex. Const. art. XVI §§ 37, 50; Tex. Prop. Code chs. 27, 28, 162; case law located via CourtListener through the SWRS legal research gateway, September 30, 2026. This brief is general information for proposal purposes and is not legal advice; deadline calculations on any specific account should be confirmed with counsel.